



POLICY // SUBSELECT INSURANCE

This Policy is comprised of several provisions that define and govern coverage. Read the entire Policy carefully to understand your rights and duties, and to determine what is and is not covered.

Throughout this Policy, "Vantage" means Vantage Risk Specialty Insurance Company, the company providing this insurance, including its successors, assigns, or trustees. "Policy" means the combination of this document, the Declarations, and any Endorsements issued. Certain words and phrases having special meaning appear in bold and are defined in Section II. of this Policy. Other words and phrases that are "Capitalized", but that do not appear in bold, refer specifically to the corresponding item in the Declarations, refer to a clause specific definition, or refer to a specific section of this Policy.

In consideration of payment of Premium and in reliance upon the statements contained in the Declarations and representations made in the **Application** and underwriting process to induce Vantage to issue this insurance, Vantage agrees to provide coverage as follows:

I. INSURING AGREEMENT

Subject to the **Limits of Insurance** stated in **ITEM 4** of the Declarations, the application of the **Retention** amounts stated in **ITEM 5** of the Declarations, and compliance by the **Insured** with the conditions specified in Section **IX.** of this Policy, Vantage will indemnify the **Insured** for **Loss**, provided that written notice of claim or potential claim is provided to Vantage strictly in accordance with Section **VII.B.** of this Policy.

This Policy is "named-perils" indemnity insurance and is neither an "all-risks" policy nor is it any type or form of liability insurance.

II. DEFINITIONS

- A. **Application** means the questions and requests for information required by Vantage as well as the answers and responses submitted by the **Insured** regarding itself and the **Scheduled Project** that are necessary for the issuance of this Policy and form the basis for the coverage provided hereunder.
- B. **Bodily Injury** means any and all physical injury, injury to the person, sickness, disease, or death suffered or sustained by any person(s), and any and all pain, suffering, mental anguish, or emotional injury or distress of any kind suffered or sustained by any person(s).
- C. **Covered Subcontract** means those written, binding agreements with respect to the **Scheduled Project** and **Fully Executed** by the **Insured** and a **Subcontractor**, setting forth an agreed scope of work, schedule, and price, and for which, the **Insured** has paid Premium in accordance with the other terms and conditions of this Policy, provided that the subcontractor is determined eligible for coverage under this Policy upon completion of the **Prequalification** process and is specifically endorsed to this Policy.

Notwithstanding any of the foregoing to the contrary, the following are not **Covered Subcontract(s)** unless specifically endorsed to this Policy:

1. any agreement that does not require as its primary purpose the actual performance of work in connection with the installation, construction, or erection of structures or building systems with respect to the **Scheduled Project**;
2. any agreement for which the primary purpose is the rental of equipment;
3. any agreement that, at any time provides or contemplates a period that is longer in duration for the subcontractor to substantially complete its performance thereunder than the period stated in **ITEM 8.(b)** of the Declarations;

4. any agreement that, at any time, is for a value or in an amount that exceeds the **Subcontract Amount Maximum** set forth in **ITEM 8.(a)** of the Declarations;

The provisions of Section II.C.4. will also apply to two or more agreements between the **Insured** and a subcontractor with respect to the same **Scheduled Project** when the sum of the value of all prices of all such agreements between the **Insured** and that same subcontractor exceed the **Subcontract Amount Maximum** even where one such agreement is excluded from coverage under this Policy.

5. any written, binding purchase order agreements between the **Insured** and a vendor or supplier pursuant to which the **Insured** purchases materials or equipment to be incorporated into the **Scheduled Project**;
 6. any agreement that is deemed ineligible upon completion of **Prequalification**; or
 7. any agreement between the **Insured** and a subcontractor that is in default regardless of whether the defaulted subcontract is being performed in connection with a **Scheduled Project** or not.
- D. **Default of Performance** means a breach by a **Subcontractor** of its **Covered Subcontract** which would allow the **Insured** to terminate the **Subcontractor** for cause, but not convenience, as determined by the **Insured** or a legally binding authority. A determination by a legally binding authority shall supersede any previous determination of **Default of Performance** by the **Insured**.
- E. **Design Services** means design and similar professional services that include, but are not limited to, the following:
1. architectural, engineering, surveying, mapping, geotechnical, archaeological, environmental, and traffic management services; and
 2. supervisory or inspection activities performed in conjunction with the rendering of any professional services.
- F. **Direct Costs** means the cost of completing the defaulted **Subcontractor's Covered Subcontract** scope of work and obligations, but only to the extent that the cost of completing the defaulted **Subcontractor's** scope of work and obligations under the **Covered Subcontract** resulted directly from the **Default of Performance** and are specifically described below in Section VII.D.1(a) thru Section VII.D.1(e) herein. **Direct Costs** are not costs and expenses referred to and defined in Section II.I herein.
- G. **Financial Distress** means the occurrence of any of the following:
1. the **Subcontractor** is insolvent;
 2. voluntary or involuntary proceedings are initiated by or against the **Subcontractor** under Title 11 of the United States Code or similar laws of any state, province, territory, or possession, or under any similar law of another country; or
 3. a receiver, trustee, or similar officer is appointed for or on behalf of the **Subcontractor**.
- H. **Fully Executed** means signed by each and every person, natural or otherwise, that must sign the agreement or other document in order for the agreement or other document to have legal effect.
- I. **Indirect Costs** means any costs and expenses paid by the **Insured** that result from a **Default of Performance** of a **Covered Subcontractor**, and which are not properly categorized as **Direct Costs**.
- J. **Insured** means the person(s) stated in **ITEM 1** of the Declarations or otherwise added by Endorsement to the Policy.

- K. **Loss** means the amount paid by the **Insured** resulting from a **Default of Performance** by a **Subcontractor** under the terms of a **Covered Subcontract** on the **Scheduled Project** as determined by the calculation in Section VII.D. below.
- L. **Policy Period** means the period of time set forth in **ITEM 2** of the Declarations or any shorter period of time resulting from cancellation of this Policy in accordance with Section IX.C. below.
- M. **Prequalification** means the review and analysis by Vantage, or its partners, affiliates, or vendors, of certain information provided by a subcontractor regarding the financial and operational capabilities of a subcontractor that results in a score which is used to determine eligibility for coverage under this Policy. The Insured shall facilitate the provision of the subcontractor information necessary in accordance with Section IX.N. below.
- N. **Production Project** means any project that has for its intended purpose, either wholly or in part, the production of chemical products, nuclear power, electrical power, oil, gas, or similar fuel or power products.
- O. **Proof of Loss** means a written claim submission made by the **Insured** that is supported by the notice of **Default of Performance**, correspondence regarding the **Default of Performance**, the complete **Scheduled Project** subcontracts and the complete **Scheduled Project** contract between the Owner and the **Insured**, project payment documents, job cost, payroll and accounting records and documents, Owner contract native format schedule files and other project records and information, necessary to establish and describe, through reasonable and accepted industry methods and practices, that the amounts claimed as **Loss** by the **Insured** result from the default of a **Covered Subcontractor**.
- P. **Residential Project** means any project, or portion thereof, for the construction of a building(s) or structure(s) intended to be used as a residence or place of habitation, and where a transferrable ownership interest is held by the resident, other occupant, or an entity. This project type includes, but is not limited to, single family homes, condominiums, or townhouses. This project type does not include nursing homes, assisted living facilities, long term care facilities, apartments, dormitories, hotels, temporary housing associated with military service, or any other multi-family residential or habitable structure that is available for rent or lease.
- Q. **Retention** means the portion of a **Loss** as stated in **ITEM 5.(a)** of the Declarations that is to be borne solely by the **Insured** with respect to each and every **Loss** covered under this Policy subject to the minimum as stated in **ITEM 5.(b)** of the Declarations.
- R. **Scheduled Project** means the construction project listed and described on the **Application** provided to Vantage, and identified in **ITEMS 3.(a)** and **(b)** of the Declarations.
- S. **Subcontract Amount** means the amount to be paid to the **Subcontractor** as stated in the **Covered Subcontract** if the **Subcontractor** fully performed all of its obligations under the **Covered Subcontract**, as adjusted by any **Fully Executed** change orders, provided that such change orders are **Fully Executed** prior to the date the **Insured** determines that the **Subcontractor** is in **Default of Performance**.
- T. **Subcontract Balance** means the **Subcontract Amount** less the amount paid to the **Subcontractor**.
- U. **Subcontractor** means any person or entity that is a party to a **Covered Subcontract** with the **Insured**. However, **Subcontractor** does not include any of the following:
1. any subsidiary of the **Insured** now existing or hereafter formed or acquired, whether partially or wholly owned or controlled, or any subsidiary of a subsidiary (whether direct or indirect), parent of the **Insured**, affiliate of the **Insured**, or partnership, joint venture, limited liability company, corporation, or other legal entity of the **Insured** or in which the **Insured** is a member or participant or maintains an ownership interest;

2. the receiver, trustee, liquidator, administrator, or similar representative appointed on behalf of any **Subcontractor**, or by its creditors, which, as of either the date the **Covered Subcontract** is **Fully Executed** or the date of **Default of Performance**, is a debtor in possession under Chapter 11 of Title 11 of the United States Code or any similar law in another country; or
 3. any legal successor to the persons or entities described in Section II.U.1. and II.U.2. above.
- V. **Substantial Completion** means either the time at which the work under the **Covered Subcontract** is substantially complete as defined by the terms of the **Covered Subcontract**, or if the **Covered Subcontract** does not define **Substantial Completion**, the earlier of the time when the work under the **Covered Subcontract** is sufficiently complete in accordance with the **Covered Subcontract** such that the Owner can utilize the work that is the subject of the **Covered Subcontract** for its intended use, or the date upon which the **Subcontractor** submits its final payment application to the **Insured** for its work performed on the **Scheduled Project**.
- W. **Tail Coverage Period** means the 1-year period after the **Substantial Completion** of a **Covered Subcontract** wherein the **Insured** may file a claim under this Policy.

III. EXCLUSIONS

This insurance does not apply to **Loss** or any portions thereof:

- A. Arising from any **Covered Subcontract** that is the subject of a payment or performance bond for which the **Insured** or an entity related to or affiliated with the **Insured** is an obligee.
- B. Arising from any **Subcontractor** who is in or to whom the **Insured** has issued written notice of **Default of Performance** as to any contract, subcontract, or other agreement between or among the **Subcontractor** and the **Insured**, and such notice of default has not been rescinded on or before the date upon which any subcontract that the **Insured** seeks to make a **Covered Subcontract** has been **Fully Executed**. Vantage may, at its sole discretion, agree to add coverage for any such **Subcontractor** via specific Endorsement to this Policy, in which case this exclusion will not apply as to such **Subcontractor**.
- C. To the extent resulting, directly or indirectly, from any act, omission, or from any misrepresentation, which act, omission, or misrepresentation is fraudulent or dishonest, and which act, omission, or misrepresentation is committed by the **Insured**, the **Insured's** representatives, the **Insured's** agents, or anyone acting on the **Insured's** behalf.
- D. Arising, whether directly or indirectly, out of any Act of Terrorism, whether certified by the United States government or not, which means an act, or preparation in respect of action, or threat of action, designed to influence the government *de jure* or *de facto* of any nation or any political division thereof, or in pursuit of political, religious, ideological, or similar purposes to intimidate the public or a section of the public of any nation by any person or group(s) of persons whether acting alone or on behalf of or in connection with any organization(s) or government(s) *de jure* or *de facto*, and which:
 1. involves violence against one or more persons;
 2. involves damage to property;
 3. endangers life other than that of the person committing the action; or
 4. creates a risk to health or safety of the public or a section of the public.
- E. Arising from any consequence, whether direct or indirect, of war, invasion, act of foreign enemy, hostilities regardless of a declaration of war or similar conflict, civil war, rebellion, revolution, insurrection or military or usurped power, riot, or civil commotion.

- F. Arising out of, caused by, resulting from, contributed by, or in connection to biological, chemical, radioactive, or nuclear pollution, contamination, or explosion.
- G. Arising out of the rendering of or failure to render **Design Services** by the **Subcontractor**. This exclusion shall apply only to that portion of the **Loss** attributable to the **Subcontractor's** rendering or failure to render **Design Services**. This exclusion does not apply to the normal supervisory duties of a **Subcontractor** on a construction project, or a **Default of Performance** by a **Subcontractor** engaged by the **Insured** whose work under the **Covered Subcontract** as to which there has been a **Default of Performance** is primarily construction, but who also may provide **Design Services** that are necessary for and a predicate to performance of the construction work required by the **Covered Subcontract**.
- H. Arising from or related to, either directly or indirectly, **Bodily Injury**.
- I. Arising from any **Covered Subcontract** that is purchased, assumed, or otherwise acquired by the **Insured** from any other person or entity, or that has been sold or otherwise transferred or assigned by the **Insured** to any other person or entity.
- J. Arising from any damages awarded by a court or other tribunal that are punitive or exemplary damages, or that are any multiple of actual damages, such as double or treble damages.
- K. Arising from any otherwise **Covered Subcontract** where a payment or performance bond has been provided with respect to a separate subcontract or similar agreement between the **Insured** and the **Subcontractor** with respect to the same **Scheduled Project**, unless submitted for underwriting review, and if approved, specifically endorsed to this Policy.
- L. Arising from any **Loss** resulting from a failure, violation, or breach of any guaranty or warranty or any guaranty of warranty obligations, whether written or implied, of the efficacy of work with regard to optimal performance specifications.
- M. Arising from any subcontract where, as of the date of the **Default of Performance**, the Owner of a **Scheduled Project** has agreed to indemnify the **Insured** with respect to the subcontractor's inability to complete the subcontract. Vantage may, at its sole discretion, agree to add coverage despite any such Owner indemnification, via specific Endorsement to this Policy, including, but not limited to, where such Owner indemnification is partial indemnification and not full indemnification.
- N. Arising from any otherwise **Covered Subcontract** where a non-residential **Scheduled Project** has been converted to a **Residential Project** prior to **Substantial Completion**, unless otherwise specifically endorsed to this Policy.
- O. Arising from any otherwise **Covered Subcontract** where the **Insured** has contractually or through other means limited the liability of a **Subcontractor** or otherwise has impaired Vantage's subrogation rights hereunder, but only such amounts greater than the limitation of liability agreed to by the **Insured**.
- P. Arising from any **Loss** where any fact or representation set forth in the **Application** by the **Insured** with regard to the **Insured** and/or the Project has materially changed.
- Q. Arising from any **Loss** where a subcontractor is determined ineligible for coverage under this Policy upon completion of the **Prequalification** process.
- R. Arising from any **Loss** where a subcontractor is not specifically endorsed to this Policy.

IV. COVERAGE TERRITORY

This insurance only applies to claims made or brought in the continental United States, including Alaska and Hawaii, for **Loss(es)** arising from any **Scheduled Project** located in the continental United States, including Alaska and Hawaii.

V. INSURED RETENTIONS

- A. The **Insured's Retention** is the amount of **Loss** that is to be borne solely by the **Insured** as defined in Section II.Q. above and stated in **ITEM 5** of the Declarations.
- B. The **Insured's** rights and duties in the event of a **Default of Performance** apply regardless of the application of any and all **Retention** amounts.
- C. The **Insured's** liability for any and all **Retention** amounts apply regardless of whether any other policies issued by Vantage or any other insurer also apply and must be paid by the **Insured**.

VI. LIMITS OF INSURANCE

- A. The Limits of Insurance stated in **ITEM 4** of the Declarations and the rules below determine the most Vantage will pay regardless of the number of:
 - 1. **Insured(s)**;
 - 2. **Subcontractor(s)**;
 - 3. claims made or suits brought; or
 - 4. persons making claims or bringing suits.
- B. The Policy Aggregate **Loss** Limit stated in **ITEM 4.(a)** of the Declarations is the most Vantage will pay for **Loss** during any **Policy Period** in excess of the **Retention** amounts from all **Defaults of Performance**, as described below. Once the Policy Aggregate **Loss** Limit in any **Policy Period** has been completely eroded, Vantage shall not have any further obligation to indemnify the **Insured**.
- C. Subject to Section VI.B. above, the most Vantage will pay for any one **Loss** will be the lesser of: (1) the Single **Loss** Limit of Insurance as stated in **ITEM 4.(b)** of the Declarations; or (2) 125% of the **Subcontract Amount** as stated in **ITEM 4.(c).1** of the Declarations.

VII. CLAIMS

- A. The burden of proving that the **Insured** has complied with the terms and conditions of, and the extent to which a **Loss** is recoverable under, this Policy shall fall solely upon the **Insured**. There are no third-party beneficiaries of this Policy.
- B. The **Insured** must give written notice of a claim or potential claim to Vantage within 30 days from an issuance of a notice of **Default of Performance** to a **Subcontractor** under a **Covered Subcontract** or from the time the **Insured** becomes aware of the **Financial Distress** of a **Subcontractor**, whichever is earlier. Any written notice of claim or potential claim reported to Vantage after 30 days shall not be a covered **Loss**.

The written notice of claim or potential claim to Vantage shall identify the **Subcontractor**, state in detail the facts or events that may give rise to a **Loss** and provide sufficient additional information so as to reasonably inform Vantage of the circumstances and current status of the potential **Loss**.

- C. In the event of a **Loss**, the **Insured** must submit to Vantage satisfactory **Proofs of Loss** documenting its entire claim, as defined in Section II.O. herein. All such **Proofs of Loss** must be submitted prior to the expiration of the **Tail Coverage Period**. Vantage will not accept any **Proofs of Loss** submitted after the expiration of the **Tail Coverage Period**, nor will it indemnify the **Insured** for any amounts reflected on such **Proofs of Loss**.

D. Subject to the provisions of this Policy and the Limits of Insurance, Vantage's indemnification of **Loss** shall be determined utilizing the following calculation:

1. Add the following costs and expenses paid by the **Insured**, that result directly from a **Default of Performance** by the **Insured's Subcontractor** under a **Covered Subcontract** on a **Scheduled Project**:

(a) costs paid by the **Insured**, either subcontracted or self-performed, for labor, materials, and equipment necessary to complete the actual construction work within the scope of work of the **Covered Subcontract**, provided that, if the work was self-performed, the **Insured** shall also be entitled to recover as overhead and profit the lesser of:

(1) the percentage for overhead and profit that the defaulted **Subcontractor** would be entitled to under the **Covered Subcontract** for self-performed work; or

(2) 15% of the labor, materials, and equipment costs of the self-performed work; and

(b) acceleration costs paid by the **Insured** to the persons or entities that complete the actual construction work within the scope of work of the **Covered Subcontract** after a **Default of Performance**; and

(c) amounts due but unpaid by the defaulted **Subcontractor** to lower tier subcontractors, vendors, or other third parties, which amounts are paid by the **Insured**, for labor, materials, and equipment furnished to complete the actual construction work within the scope of the **Covered Subcontract**; and

(d) costs paid by the **Insured** for the labor, equipment, and materials used in the correction of defective or nonconforming work or materials within the scope of work of the **Covered Subcontract**, but these costs do not include any amount that the **Insured** or a **Subcontractor** is legally obligated to pay as damages resulting from such defective or nonconforming work or materials; and

(e) legal and other professional expenses paid by the **Insured** that are reasonably necessary to:

(1) prepare and present a claim against this Policy; or

(2) pursue recovery of damages from the defaulting **Subcontractor** or any third party pursuant to obligations contained in this Policy.

Notwithstanding any of the foregoing, Vantage will not pay any legal or other professional expenses where the fees or rates charged to the **Insured** are not reasonable and customary for the services provided. Further, Vantage shall not be obligated to indemnify the **Insured** for any legal or other professional expenses hereunder until the **Insured** submits to Vantage unredacted invoices for such legal or other professional expenses, providing a detailed description of the legal or other professional work performed for which reimbursement is sought.

2. Subtract the **Subcontract Balance** from the amount determined in Section VII.D.1.

3. Subtract all amounts retained, withheld, recovered, or otherwise obtained by the **Insured** from the amount determined in Section VII.D.2.

4. Subtract all project contingency funds allocated or otherwise designated for contingent use with regard to a specific trade(s) or subcontract(s) as defined below in Section VII.E.

5. Subtract the greater of \$100,000 or 10% of the amount determined in Section VII.D.3 from the lesser of either the amount determined in Section VII.D.3 or the applicable Single **Loss** Limit of Insurance, or 125% of the **Subcontract Amount** (whichever is applicable).

- E. Where the construction contract between the **Insured** and the Owner of the **Scheduled Project** provides for project contingency funds and certain funds are allocated or otherwise designated for contingent use with regard to a specific trade(s) or subcontract(s), then such allocated or otherwise designated project contingency funds will be included in the calculation of **Loss** as outlined under Section **VII.D.** above. The amount of such funds will be subtracted from the amount that Vantage otherwise would be obligated to pay hereunder relative to a **Default of Performance** and will reduce the amount of **Loss** indemnified under this Policy. Nothing contained in this provision shall in any way limit the **Insured's** obligations for the **Retention** amounts as listed in **ITEM 5** of the Declarations.
- F. Multiple **Defaults of Performance** by the same **Subcontractor** on the **Scheduled Project** during the **Policy Period** constitutes a single **Loss**.
- G. The **Insured** may submit interim **Proof(s) of Loss**. In the event that Vantage determines that any claim submission made by the **Insured** in support of its **Proof of Loss** or interim **Proof of Loss** fails to satisfy the requirements of a **Proof of Loss** as defined in Section **II.O.** herein, then Vantage will notify the **Insured** of the deficiencies within 30 days after receipt of the **Insured's Proof of Loss** or interim **Proof of Loss** submission. Vantage will indemnify the **Insured** for **Loss**, or that portion of a **Loss** reflected in an interim **Proof of Loss**, within 30 days after Vantage determines that the **Proof of Loss** or interim **Proof of Loss** is satisfactory.
- H. Upon a determination by a legally binding authority that a **Loss** (or any portion thereof) does not arise out of a **Default of Performance** of a **Subcontractor**, the **Insured** must reimburse to Vantage all payments made by Vantage to the **Insured** hereunder in connection with such claimed **Loss**, but only to the extent that the claimed **Loss** (or any part or portion thereof) does not arise out of a **Default of Performance** as per such determination. Such reimbursement payment shall be transmitted to Vantage no later than 30 days from the date of demand for such reimbursement.
- I. **Proof of Loss** and any amounts claimed as covered **Loss** under this Policy are subject to audit by Vantage in accordance with Section **IX.B.** of this Policy.
- J. In the event the **Insured** and Vantage cannot agree on the amount owed under this Policy or cannot agree on the amount of **Loss**:
1. The **Insured** must provide Vantage with written notice of intent to commence dispute resolution, identifying the specific disputes that the **Insured** seeks to have resolved and the amount (if any) that the **Insured** seeks to recover from Vantage.
 2. Within 30 days of Vantage's receipt of the **Insured's** notice, Vantage will provide the **Insured** with a sufficiently detailed response stating Vantage's position and the basis therefor.
 3. If Vantage does not respond to the **Insured's** notice within 30 days of Vantage's receipt thereof, then the dispute shall be resolved pursuant to Section **IX.L.** of this Policy.
- K. In the event of a **Loss**, Vantage will not pay any legal or other professional expenses where the fees or rates charged to the **Insured** are not reasonable and customary for the services provided. Further, Vantage shall not be obligated to indemnify the **Insured** for any legal or other professional expenses hereunder until the **Insured** submits to Vantage unredacted invoices for such legal or other professional expenses, providing a detailed description of the legal or other professional work performed for which reimbursement is sought.

VIII. SUBROGATION AND RECOVERY

- A. In the event of any payment made by Vantage under this Policy:
1. Vantage shall be subrogated, to the extent of such payment, to all the **Insured's** rights, causes of action, and claims against any and all persons or entities that may be liable for the **Loss** or any portion thereof, including but not limited to the defaulted **Subcontractor** and any insurer that may be obligated to indemnify the **Insured**, the defaulted **Subcontractor**, or any third-party for the **Loss** (or any portion thereof).
 2. At Vantage's request, the **Insured** shall assign to Vantage all of the **Insured's** rights, claims, causes of action, liens, security interests, and other interests against any persons or entities that may be liable for the **Loss** (or who may be obligated to indemnify the **Insured** therefor) or for any portion thereof.
 3. Unless otherwise agreed by Vantage in writing, Vantage shall have the sole right, but not the obligation, to pursue any and all claims and causes of action against any person or entity that may be liable for the **Loss** (or who may be obligated to indemnify the **Insured** therefor) or for any portion thereof, in its own and sole discretion. Vantage's decision to pursue or forgo pursuit of any such claim or cause of action shall be binding upon the **Insured**.
- B. At all times, the **Insured** must take all reasonable steps and actions to preserve all claims, causes of action, rights of recovery, and interests against all persons or entities that may be liable for the **Loss** (or who may be obligated to indemnify the **Insured** therefor) or for any portion thereof. The **Insured** shall not do anything to prejudice such rights, claims, causes of action and interests, and shall take all reasonable steps and actions necessary to avoid any such prejudice. The **Insured** must cooperate with Vantage in the investigation, settlement, and defense of any claim or suit; and the **Insured** must assist Vantage, upon reasonable request, in the enforcement of any right, claim, cause of action, or interest against any person or entity that may be liable for a **Loss** (or who may be obligated to indemnify therefor) or for any portion thereof.
- C. In the event that a **Covered Subcontract** or other legally binding agreement waives, precludes, or otherwise impairs Vantage's right to subrogate (in whole or in part) to the **Insured's** rights and claims against any person or entity who may be responsible, liable, or obligated to indemnify for any **Loss** (or any portion thereof) then such amounts in excess of such waiver, preclusion, or other impairment shall not be deemed to be a part of a **Loss**, and to the extent such amounts in excess are paid by Vantage to the **Insured**, the **Insured** must reimburse Vantage all payments made by Vantage to the **Insured** to indemnify for such **Loss** hereunder, but only to the extent of the amount(s) that the waiver, preclusion, or other impairment prevents Vantage from collecting from such person or entity.
- D. After payment of the **Loss** (or any portion thereof), any recovery of the **Loss** (or any portion thereof) shall be paid to Vantage and shared between Vantage and the **Insured** as follows:
1. First, Vantage will be fully reimbursed for all costs and expenses paid by Vantage in the pursuit of recovery, including but not limited to, attorneys' fees, consultants' fees, expert witness fees, and internal costs and expenses;
 2. next, the **Insured** and Vantage will share any remaining funds *pro rata*, based on the percent of the **Retention** amounts that were applied to the **Loss**; however, the **Insured's** share of any remaining funds cannot exceed the **Retention** applied to the **Loss**; and
 3. to the extent that the recovery of funds or salvage results in an amount greater than the amount of the **Loss** plus the **Retention**, then the excess recovery amount shall be paid to Vantage.

The application of amounts recovered as described above shall apply regardless of any other characterization or application of such amounts by any person.

IX. CONDITIONS

As a condition precedent of coverage provided under this Policy, the **Insured** warrants and agrees to the following:

A. Loss Mitigation

1. The **Insured** shall immediately cease awarding subcontracts or additional work, including but not limited to change orders, to any subcontractor that is in **Default of Performance**.
2. In the event the **Insured** becomes aware of acts or omissions by a **Subcontractor** that may give rise to a **Loss**, the **Insured** shall immediately cease awarding subcontracts to the **Subcontractor**, regardless of whether the **Insured** seeks to make a subcontract a **Covered Subcontract** or not, and take all reasonable and timely actions appropriate to preserve all claims, causes of action, and rights of recovery against such **Subcontractor** and any third party who may be liable for any **Loss** or who may be obligated to indemnify therefor.
3. The **Insured** agrees to use all reasonable measures to prevent and to mitigate **Loss** at all times.

The **Insured** shall not seek any amounts under this Policy that have not been actually paid by the **Insured** or legally withheld by the owner of the **Scheduled Project** as a result of a **Default of Performance** of a **Subcontractor**, and the **Insured** shall return to Vantage any amounts that Vantage paid to the **Insured** under this Policy that do not result directly from a **Default of Performance** no later than 30 days from the date of demand for such reimbursement. Further, to the extent the **Insured** is reimbursed by the Owner of a **Scheduled Project** for any **Loss** paid by Vantage under this Policy, then an amount equal to such reimbursement shall be transmitted to Vantage no later than 30 days from the date of demand for such reimbursement.

B. Audits and Billings

1. Premium shown in **ITEM 9** of the Declarations is a Minimum Premium only for the corresponding Policy and shall only be due if the Initial Premium described below is less than the stated Minimum Premium amount.
2. Initial Premium shall be billed 30 days from issuance of the Policy and shall be calculated as the Rate as stated in **ITEM 7** of the Declarations per \$1,000 dollars of Estimated **Covered Subcontract** Volume as stated in **ITEM 6** of the Declarations.
3. Once the Initial Premium has been billed and paid then at the close of each subsequent reporting period, Vantage will compute the Additional Premium for that period, if any, and send notice to the first Named **Insured** shown in **ITEM 1** of the Declarations. The due date for any Premiums, if applicable, is the date shown as the due date on the bill.
4. The **Insured** warrants and represents that it will provide Vantage with the information necessary to conduct final Premium audits on **Scheduled Projects** within 60 days from the date of **Substantial Completion** of each **Scheduled Project**. If the sum of the Initial Premium paid is greater than the calculated Premium based on the final Premium audit, then Vantage will return the excess to the first Named **Insured** shown in **ITEM 1** of the Declarations.
5. Vantage shall have the right of access to all books, records, accounts, communications, other documents, and any of the information contained therein, including, but not limited to, financial data and information pertaining to subcontractors, that are in the **Insured's** possession or control, even if in the possession of a third party, that Vantage deems necessary to inspect, copy, or otherwise review relating in any manner to this Policy or coverage hereunder. At Vantage's request, the **Insured** must take any and all reasonable steps to obtain such documentation and information in the possession of

others. At all times, Vantage will treat the **Insured's** proprietary information as confidential unless required by law to otherwise disclose.

6. To the extent required by law or contract, the **Insured** warrants and represents that it will obtain the necessary permission(s), as well as evidence thereof, in connection with Vantage's rights as described in Section **IX.B.5.** above.

C. Cancellation

1. Vantage is not permitted to cancel this Policy, except under the following circumstances:
 - (a) nonpayment of Premium;
 - (b) upon a change in the composition of the **Insured**, as provided in Section **IX.D.5.** below;
 - (c) as provided in Section **IX.M.** below; or
 - (d) upon a material misrepresentation by the **Insured** in the **Application**.
2. Should Vantage elect to cancel this Policy pursuant to Section **IX.C.1.(a)**, **IX.C.1.(b)** or **IX.C.1.(c)** above, then Vantage shall deliver to the first Named **Insured** shown in **ITEM 1** of the Declarations written notice of cancellation, stating the date the cancellation is effective, which date shall not be less than ten calendar days from the date of the notice of cancellation.
3. The effective date of cancellation of this Policy shall be the earlier of the end of the **Policy Period** as shown in **ITEM 2** of the Declarations or the date of cancellation as provided in Section **IX.C.2.** above.
4. The **Insured** will have 60 days from the effective date of cancellation of this Policy to report to Vantage a final reconciliation of all **Covered Subcontract(s)** in connection with all **Scheduled Project(s)** that have been **Fully Executed** prior to the effective date of cancellation. If the **Insured** fails to provide such a reconciliation within this 60-day period, then Vantage will determine the final reconciliation unilaterally. Cancellation of this Policy will not affect coverage under this Policy for **Loss** arising out of a **Default of Performance** under any **Covered Subcontract** included on the final reconciliation.
5. If this Policy is canceled, a return of any Premium properly due to be refunded to the **Insured** will be made to the **Insured**. The amount of return Premium shall be calculated as the Policy Premium paid less the Premium attributable to any **Covered Subcontract** included on the final reconciliation, subject to any applicable minimum Premium stated in **ITEM 9** of the Declarations.
6. Should Vantage elect to cancel this Policy pursuant to Section **IX.C.1.d.**, Vantage shall also have the option to void this Policy retroactive to the Policy Inception date, return all Premium paid, and have no obligation to indemnify the **Insured** for any alleged claim made against this Policy.

D. Change in Composition of the Insured

If, during the **Policy Period**, the **Insured** consolidates, merges with, or sells all or substantially all of the **Insured's** assets to any other person or entity, or if another person or entity should acquire beneficial ownership of a majority of the shares of the **Insured** with ordinary voting power in the election of directors then this Policy may be cancelled retroactive to the effective date of the Policy, at Vantage's sole discretion.

E. Choice of Law

In the event of any dispute between the **Insured** and Vantage relating in any manner to this Policy, then Section **IX.L.** of this Policy shall dictate and control with regard to choice of law.

F. Assignment

The **Insured** cannot and shall not assign its rights under or interests in this Policy and cannot and shall not assign any claim against Vantage under this Policy, or the proceeds of such claim prior payment thereof by Vantage to the **Insured**, absent Vantage's written consent specifically endorsed to this Policy. Any such assignment in the absence of Vantage's written consent specifically endorsed to this Policy shall be void and shall not be binding upon Vantage. The only legal entity with any rights of action or otherwise under this Policy is the **Insured**.

G. Other Insurance

1. If other valid insurance exists to protect, insure, or indemnify the **Insured** from and against any **Loss**, damage, cost, or expense that may constitute a **Loss**, then this Policy shall not provide any coverage for the risks and hazards that are covered by such other valid insurance, unless and until the coverage provided by such other valid insurance is recovered against to the fullest extent permissible by law. This Policy shall be implicated only when all such other valid insurance has been completely exhausted.
2. In any instance where this Policy is held to provide coverage notwithstanding the existence of other valid insurance as described in Section IX.G.1. above, the coverage provided by this Policy is and shall be excess, only, over and above the coverage provided by all such other valid insurance, including any Deductible or **Retention** under such other insurance. This Policy shall be implicated only when all such other valid insurance has been completely exhausted.

H. Changes

The terms and conditions of this Policy cannot be released, waived, or otherwise changed unless specifically endorsed to this Policy.

I. Sole Agent

The first Named **Insured** shown in **ITEM 1** of the Declarations shall be the only person or entity authorized to act on behalf of all **Insured(s)** for all purposes, including but not limited to the payment or return of Premium, receipt and acceptance of any Endorsement issued to form a part of this Policy, complying with all applicable notice provisions, and giving and receiving notice of cancellation or non-renewal. Vantage shall not be obligated to respond to any claims, notices, correspondence, or communications submitted or sent to Vantage by any other person or entity.

J. Declarations

By acceptance of this Policy, the **Insured** represents and warrants that the statements made in the **Application** to Vantage to induce it to provide this Policy to the **Insured** are the **Insured's** agreements and representations; and the **Insured** warrants the truth and accuracy of all such agreements and representations and acknowledges that Vantage provides this Policy in specific reliance upon the truth and accuracy of all such agreements and representations.

K. Acknowledgement of Circumstances

The **Insured** warrants and represents that, as of 12:01 AM on the first day of the **Policy Period**, the **Insured** has no knowledge of any facts or circumstances that may reasonably be anticipated to result in a **Loss** except for those, if any, that were specifically disclosed to Vantage in writing prior thereto. Failure to disclose such knowledge of any facts or circumstances shall result in the cancellation of this Policy retroactive to the effective date.

L. **Dispute Resolution**

All disputes relating in any manner to, or arising in any manner from, this Policy shall be resolved as follows, and in no other manner:

1. The **Insured** and Vantage shall submit such dispute(s) to mediation. The mediation shall be conducted by a single mediator. If the parties cannot agree upon a mediator, then the parties shall mediate through National Arbitration and Mediation (NAM). The rules of NAM shall apply to such mediation except to the extent that they are inconsistent with anything herein, in which case the terms of this Policy shall govern.

Unless the parties agree otherwise in writing, the mediator shall be selected by the NAM administrator from NAM's roster of mediators in the New York City metropolitan area who either identify themselves as having experience mediating construction disputes or who are former judges. If the parties cannot agree on a location for the mediation, then the mediation shall take place at NAM's office in Manhattan. Mediation shall be a condition precedent to any other dispute resolution proceedings. The fees of the mediator, any filing fees, and all similar costs and expenses shall be shared by the parties equally. Notwithstanding any language to the contrary elsewhere in this Policy, each party shall bear its own attorney's fees, other professional fees (such as the fees of experts), costs, and expenses that relate in any manner to such mediation.

2. If the parties are unable to resolve their dispute(s) (in whole or in part) through mediation, then, unless otherwise agreed by Vantage in writing, any such dispute(s) shall be resolved by way of litigation commenced and maintained exclusively in either the United States District Court for the Southern District of New York or the Supreme Court of the State of New York, County of New York, Commercial Division, and in no other forum. The **Insured** and Vantage irrevocably and unconditionally consent to jurisdiction in such courts, and waive any defense based upon a lack of personal jurisdiction except a defense alleging the failure of, improper, or inadequate service of process. Neither party shall seek punitive, exemplary, treble, non-pecuniary, special, or similar damages in any such litigation. All claims to such damages are expressly waived. In addition, the **Insured** otherwise shall not seek damages from Vantage in excess of the applicable Limits of Insurance of this Policy, including any **Loss** or **Indirect Costs** Sublimits.

Notwithstanding any language to the contrary elsewhere in this Policy, each party shall bear its own attorney's fees, other professional fees (such as the fees of experts), costs, and expenses that relate in any manner to such litigation.

3. Neither the **Insured** nor anyone acting on its behalf shall commence any action against Vantage relating in any manner to this Policy unless the **Insured** has complied with all of the terms and conditions of this Policy.

Unless otherwise agreed by Vantage in writing, any action against Vantage relating in any manner to this Policy must be commenced not later than the later of (a) four years from the effective date of termination of the **Covered Subcontract** or (b) six months from the date of Vantage's issuance of final payment or other final disposition of the claim that is in dispute.

M. **False or Fraudulent Statements, Report or Claims Concealment**

If at any time the **Insured**, the **Insured's** representatives, or the **Insured's** agents make any statement, report, or claim to Vantage (or anyone acting on Vantage's behalf) that they (or any of them) know to be false or fraudulent, or if the **Insured**, the **Insured's** representatives, or the **Insured's** agents knowingly conceal any material fact from Vantage (or anyone acting on Vantage's behalf), at any time, then Vantage may, at Vantage's sole option, rescind this Policy *ab initio*. In the event of a rescission, all **Loss** amounts paid by Vantage shall be returned to Vantage, with interest at the post-judgment interest rate prescribed by

New York law, by the **Insured** upon demand. All Premium paid by the **Insured** hereunder shall be returned to the **Insured** by Vantage.

N. Subcontractor Information

With regard to **Prequalification**, the **Insured** must take any and all reasonable steps to obtain such documentation and information in the possession of subcontractors in order to complete the **Prequalification** process. At all times, Vantage will treat such information as confidential unless required by law to otherwise disclose. To the extent required by law or contract, the **Insured** warrants and represents that it will obtain the necessary permission(s), as well as evidence thereof, in connection with Vantage's rights as described herein.

X. HEADINGS

The titles and headings to the various sections, subsections and endorsements of this Policy are included solely for ease of reference and do not in any way limit, expand or otherwise affect the provisions of such sections, subsections, or endorsements.